

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

HOUSE BILL 3975

By: Caldwell (Trey)

AS INTRODUCED

An Act relating to the State Department of Health; creating the Oklahoma Rural Health Transformation Program; stating purpose; designating the State Department of Health as lead agency; allowing for the Department to partner with other agencies; creating reporting requirements; creating the Oklahoma Rural Health Transformation Revolving Fund; establishing fund at the State Department of Health; deeming the funds appropriated; providing expenditure and budgeting requirements and limitations; allowing for use of memoranda of understanding; limiting scope of such memoranda; providing for codification; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3321 of Title 63, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Rural Health Transformation Program (ORHT)".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3321.1 of Title 63, unless there is created a duplication in numbering, reads as follows:

1 The purpose of this act is to ensure the oversight of federal
2 funds received by the State Department of Health, and other partner
3 agencies, through the Rural Health Transformation Program (RHT),
4 created in Public Law No. 119-21.

5 SECTION 3. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 3321.2 of Title 63, unless there
7 is created a duplication in numbering, reads as follows:

8 A. The State Department of Health shall act as the lead agency
9 for Oklahoma in handling the Rural Health Transformation Program
10 (RHT). The Department shall interface with the federal government
11 on behalf of the State of Oklahoma, and other state agencies, in the
12 disbursement of funds, and reporting requirements to the federal
13 government.

14 B. As the lead agency, the State Department of Health shall
15 provide a yearly report on the progress of the expenditures,
16 programs, and outcomes that were listed in the application to the
17 Centers for Medicare and Medicaid Services (CMS), as well as any
18 changes that have been adopted, along with the reasons for such
19 changes. Said report shall be submitted annually no later than
20 January 31 throughout the life of the program. Such reports shall
21 be submitted to the Governor, the Speaker of the Oklahoma House of
22 Representatives, the President Pro Tempore of the Oklahoma State
23 Senate, the Appropriations and Budget Chair of the Oklahoma House of
24 Representatives, the Appropriations Chair of the Oklahoma State

1 Senate, and the relevant subcommittee chairs for each chamber.
2 Additionally, the Department shall publish such reports on its
3 website.

4 C. No less than quarterly the Department shall publish on its
5 website progress reports for all projects, including the expenditure
6 of funds for each project as of the latest completed calendar
7 quarter.

8 SECTION 4. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 3321.3 of Title 63, unless there
10 is created a duplication in numbering, reads as follows:

11 A. There is hereby created in the State Treasury a revolving
12 fund for the State Department of Health to be designated the
13 "Oklahoma Rural Health Transformation Revolving Fund (ORHT Revolving
14 Fund)". The fund shall be a continuing fund, not subject to fiscal
15 year limitations, and shall consist of all monies received by the
16 State Department of Health for the benefit of the Rural Health
17 Transformation (RTH) Program overseen by CMS. All monies accruing
18 to the credit of said fund are hereby appropriated and may be
19 budgeted and expended by the State Department of Health for the
20 purpose of funding programs and projects approved by CMS for the RTH
21 Program. Expenditures from said fund shall be made upon warrants
22 issued by the State Treasurer against claims filed as prescribed by
23 law with the Director of the Office of Management and Enterprise
24 Services for approval and payment.

1 B. The State Department of Health may enter into memoranda of
2 understanding with partner agencies for the expenditure of funds
3 from the ORHT Revolving Fund. Such expenditures are limited to
4 those necessary to complete projects and programs under the RHT
5 Program.

6 SECTION 5. It being immediately necessary for the preservation
7 of the public peace, health or safety, an emergency is hereby
8 declared to exist, by reason whereof this act shall take effect and
9 be in full force from and after its passage and approval.

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